

HIDDEN DEFICIT

The Government's claim of a lower fiscal deficit is off the mark by a full per cent of GDP. It's the result of creative accounting and failure to restructure and reform its subsidy regime.

■ By Shankkar Aiyar

The optics couldn't get better. High growth of 9 plus per cent for two years, possibly for three if forecasts hold good. Buoyant tax collections double gross tax revenue in three years. Add the most significant achievement: consolidation of public finances with the lowest fiscal deficit ever. In fact, in his speech on February 28, Finance Minister P. Chidambaram said, "I am happy to report that the revenue deficit for the current year will be 2 per cent and the fiscal deficit will be 3.7 per cent against a BE of 3.8 per cent." Indeed, the perception is that the UPA Government could well achieve the targets or at least part of them promised under the Fiscal Responsibility and Budget Management Act (FRBM).

Reality though has a nasty knack of catching up. Last week, the Economic Advisory Council to the Prime Minister, in its *Economic Outlook for 2007-08*, exposed the illusion of fiscal consolidation in one short paragraph. Even as it predicted 9 per cent growth, it expressed concern about government finances stating that several risks remain. In fact, while stating that revenue deficit was "unlikely to be eliminated by 2008-09", the council points out that off-budget liabilities at the Centre and states "would aggregate two

per cent of GDP".

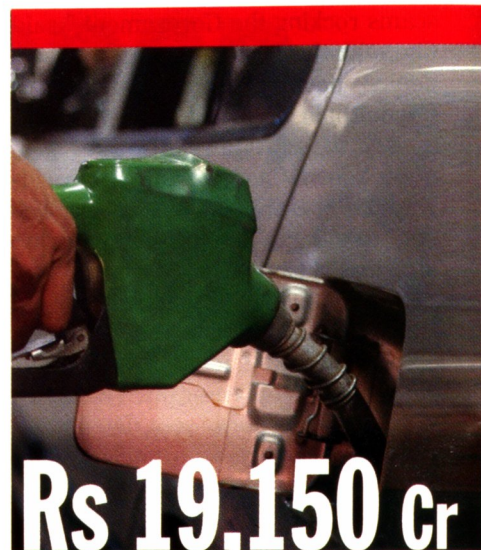
In other words, the proclaimed slashing of fiscal deficit is a blend of politics and creative accounting. Very simply the Government did not factor three major items of expenditure—bonds issued to oil companies, special securities issued to FCI and arrears of fertiliser subsidies—amounting to Rs 44,138 crore into the books. Add this to the claimed fiscal deficit of Rs 1,52,328 crore (3.7 per cent of Rs 41,16,972 crore) and you get Rs 1,96,466 crore which would be 4.7 per cent of the GDP for 2006-07. As Indira Rajaraman, RBI chair professor at NIPFP points out, "It is worrisome, because fiscal targets carry credibility only when they are embedded in a transparent system." Add the off-budget liabilities of the states, which is Rs 38,201 crore, to the Centre's dues of Rs 44,138 crore and the aggregate deficit of Centre and states would rise from 6.3 per cent to 8.3 per cent.



"Off-budget liabilities at the Centre and states would aggregate to 2 per cent of GDP"

DR C. RANGARAJAN,
Chairman, Prime Minister's
Economic Advisory Council in
Economic Outlook 2007-08

Of course, there has been fiscal consolidation—even if it is largely fuelled by four years of high growth and buoyant revenue collections. A fiscal deficit of 8.3 per cent is much better than the 10-plus per cent just a few years back. But there is no denying the sleight in tallying the books. Bibek Debroy, research professor, Centre for Policy Research, says, "The finance minister would like the FRBM targets to be reached for public consumption purposes, but recog-



Bonds issued to OIL COMPANIES to compensate for the difference between the economic price and political price of fuel.

WHY: Government controls fuel prices to manage inflation indices without paying for it.

RISK: with no price hike, bonds worth Rs 20,000 crore may have to be issued in 2007-08.

WAY OUT: petro products must be priced by a regulator not the Government.

nises that bringing in the off-budget items would knock the deficit figures for a six." Ergo it is convenient to keep disputes alive and disputed demands off the books. There is a method in the seeming madness. Depending on the political climate, regimes adjust prices of sensitive products triggering a demand for subsidies much higher than when the budget was written. This leads to new expenditure that is often parked in the psus. This can be avoided if subsidies are explicit, but the Government's money managers practise profligacy while appearing to be pious.